

Banking Regulation & Policy Department
Bangladesh Bank
Head Office
Dhaka-1000

BRPD Circular No.- 23

June 16, 2010
Date : -----
Ashar 02, 1417

Chief Executives
All Scheduled Banks in Bangladesh

Dear Sir,

Prudential Regulations for Consumer Financing
(Regulation for Hosing finance)

Please refer to Regulation 23 and 25 of Guidelines for Prudential Regulations for Consumer Financing, circulated vide BRPD Circular No.-07, dated November 03, 2004.

02. Because of price hike of construction materials for housing and real estate it has been decided to amend the Regulation 23 and 25 which will now stands as under:

Regulation-23:

“ The maximum per party limit in respect of housing finance by the banks will be Tk 10(Ten) million.

The housing finance facility shall be provided at a maximum debt equity ratio of 80:20. ”

Regulation-25:

“ Banks are free to extend mortgage loans for housing, for a period not exceeding 25 (twenty five) year. Banks should be mindful of adequate asset liability matching ”

Please acknowledge receipt.

Yours sincerely,

(Md. Sohrawardy)
General Manager
Phone: 7117825